ContractLens MAS — Comparative Synthesis Report

NEC Douglas D04 - Compensation event assessment when the latest programme is not accepted

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Agents: GCC Agent · NEC Agent · Comparison Agent
Workflow: Query Decomposition → Parallel Querying → Cross-examination → Synthesis → QA
Overall verdict: **PASSED**

Context / Scenario

The latest revised programme submitted for acceptance has not been accepted, and the lack of acceptance is for a reason stated in the contract. The Project Manager must assess compensation events in that situation.

Topic

Compensation event assessment when the latest programme is not accepted.

Questions

In this situation, explain the process the Project Manager follows to assess compensation events?

Query Plan

L1 — Spirit / Philosophy: How does the contract's governance philosophy allocate responsibility for keeping an accepted and reliable programme so that compensation event assessment remains fair, timely, and administratively workable?
L2 — Clause-level Provisions: What clauses govern the Project Manager's assessment of a compensation event where the latest submitted programme has not been accepted, including which programme or assumptions are used and what duties arise for quotation and assessment?
L3 — Practice Implications: What practical behaviours should the Project Manager and Contractor adopt when the current programme is unaccepted to avoid distorted time and cost assessments, procedural deadlock, or disputes?
Canonical topic: compensation_event_notification_quotation_assessment

Anchor Clauses

GCC: —
NEC4: cl. 64.2, cl. 64.3, cl. 66.1

Comparative Synthesis

> **Executive summary —** GCC does not grant NEC-style compensation-event assessment: the Engineer falls back on the last approved programme, records, EOT, variation and disturbance machinery. NEC4 expressly shifts assessment to the Project Manager under cl. 64.1–64.2 when the latest programme is unaccepted. The behavioural shift is from retrospective claim proof to maintaining an accepted forecast.

1. Spirit / Philosophy — Engineer control versus relational forecasting.

GCC: The GCC corpus does not use the terms "compensation events", "Project Manager", "Prices", or "quotations". It uses the "Engineer", "Variations" under Clauses 60 and 61, "Disturbance" under Clauses 63 and 64, and Bills of Quantities rather than Prices. Its governance philosophy is Engineer-led, claims-oriented and

retrospective: in Transaction Cost Economics terms, it controls uncertainty through formal notice, records, approved baselines and ex post valuation.

NEC: NEC4 ECC manages change through a prospective compensation event regime operating heavily on an up-to-date Accepted Programme and a spirit of mutual trust and co-operation under cl. 10.2. The Accepted Programme is not merely evidence; it is the working forecast for assessing Prices, Completion Date and Key Dates. In TCE terms, NEC reduces transaction cost by relational governance, real-time information exchange and administratively disciplined forecasting.

2. GCC Position (Implementation) — Last approved programme anchors assessment.

Implementation flow:

1. Contractor serves delay notice within 28 days of delay arising (Clause 50(1)(a)) →
2. Contractor serves additional-payment notice within 28 days of event (Clause 64(2)) →
3. Contractor keeps records and submits interim account with full particulars (Clause 64(3), Clause 64(4)) →
4. Engineer assesses using last approved Works Programme and available information (Clause 50(2), Clause 50(3), SCC Clause A1(8)(a)) →
5. Engineer values variations/disturbance and Contractor revises programme where required (Clause 61, Clause 63, Clause 64(6), Clause 50(4), SCC Clause A1(5), SCC Clause A1(6)(b)).

Under Clause 16(2), programme submission or approval does not relieve the Contractor of any duty or responsibility. If a newly submitted programme is not accepted, it has no contractual weight and the Engineer relies on the last approved baseline. For Mega Projects, SCC Clause A1(8)(a) states: "Unless and until an amended version of the Works Programme is approved by the Engineer... the programme previously approved by the Engineer shall remain as the Works Programme for all purposes of the Contract". SCC Clause A1(2) is cited in the GCC expert response, but no further operative detail was supplied for this topic.

If the Engineer rejects a submitted programme, the Engineer must give reasons. Under SCC Clause A1(5), the Contractor must submit a revised programme taking account of those reasons within 21 days. Until approval, the previously approved Works Programme applies. Whenever the Engineer grants an EOT, Clause 50(4) requires the Contractor to revise the programme. For Mega Project contracts, SCC Clause A1(6) and SCC Clause A1(6)(b) expand that duty: the Contractor must review and submit an amended Works Programme within 21 days if an EOT is granted, a variation is ordered, expedition is instructed, or the Contractor foresees a significant deviation between actual progress and the Works Programme.

Time is assessed retrospectively. The Engineer determines EOT by considering "all the circumstances known to him at that time" under Clause 50(2). If the programme is unreliable, or the Contractor fails to submit full and detailed particulars of the cause and extent of delay, Clause 50(3) permits the Engineer to consider EOT "only to the extent that the Engineer is able on the information available". Cost is also record-based. Variations are valued under Clause 61(1) using existing Contract rates or, failing agreement, a fair rate fixed by the Engineer under Clause 61(2); Clause 60(1) frames the variation route. For disturbance, the Engineer ascertains actual "Cost incurred" under Clause 63. Clause 64(2) requires notice of intention to claim additional payment within 28 days of the event; Clause 64(3) requires contemporary records; Clause 64(4) requires a first interim account giving full and detailed particulars. If those records or accounts are missing, Clause 64(6) restricts recovery to what the Engineer can assess "only to the extent that the Engineer is able on the information made available".

3. NEC4 Position (Implementation) — PM assesses using own remaining-work programme.

Implementation flow:

1. Project Manager reviews programme and states reasons for non-acceptance within the period for reply (cl. 31.3, cl. 13.4) →
2. Contractor resubmits revised programme within the period for reply (cl. 13.4, cl. 32.2) →
3. On the compensation event, Project Manager assesses because latest programme is unaccepted for a stated reason (cl. 64.1) →
4. Project Manager states assumptions if effects are too uncertain to forecast reasonably (cl. 61.6) →
5. Project Manager uses own assessment of remaining-work programme, assesses Prices/time, notifies with details within quotation period, and implements (cl. 64.2, cl. 63.1, cl. 63.5, cl. 64.3, cl. 66.1).

The Accepted Programme is the programme identified in the Contract Data or the latest programme accepted by the Project Manager, which supersedes previous ones under cl. 11.2(1). When a compensation event occurs, the Contractor is typically instructed to submit a quotation under cl. 62.2. That quotation comprises proposed changes to the Prices, any delay to the Completion Date and Key Dates, details of the assessment, and alterations to the Accepted Programme.

If the Contractor submits a programme and the Project Manager rejects it for a contract reason, it does not become the Accepted Programme. Examples under cl. 31.3 include that the plans are not practicable, the programme does not represent the Contractor's plans realistically, or it lacks required information. The Project Manager must state reasons for non-acceptance, and the Contractor must resubmit the revised programme within the period for reply, taking account of those reasons under cl. 13.4 and cl. 32.2.

Where the Project Manager has not accepted the Contractor's latest programme for one of the stated contractual reasons, cl. 64.1 removes the Contractor's right to assess the compensation event. The Project Manager is then mandated to assess it. Under cl. 64.2, because the latest programme is unaccepted and cannot be relied upon, the Project Manager must use their own assessment of the programme for the remaining work.

The assessment then follows the compensation-event valuation rules. Under cl. 63.1, the Project Manager evaluates changes to the Prices by reference to the effect of the compensation event on actual Defined Cost of work already done by the dividing date, forecast Defined Cost of work not yet done, and the resulting Fee. Under cl. 63.5, delay to the Completion Date is normally the length of time that planned Completion is later than that shown on the Accepted Programme current at the dividing date; where the latest programme is unaccepted, this relies on the Project Manager's own remaining-work assessment. If effects are too uncertain to forecast reasonably, cl. 61.6 allows the Project Manager to state assumptions on which the assessment is based. Under cl. 64.3, the Project Manager notifies the Contractor of the assessment with details within the period allowed for the Contractor's quotation submission. Under cl. 66.1, the Project Manager implements the compensation event upon notifying the assessment, altering the Prices and Completion Date accordingly.

4. Behavioural Implications — Records remain, but timing moves earlier.

Under GCC, the Contractor protects position through notices, records and particulars, while the Engineer preserves administrative control by using the last approved Works Programme and valuing only what the record allows. The Contractor must notify delay within 28 days under Clause 50(1)(a), notify intention to claim additional payment within 28 days under Clause 64(2), keep contemporary records under Clause 64(3), and submit full and detailed particulars under Clause 64(4). If the current programme or claim evidence is weak, the Engineer's incentive is to narrow the assessment to available information under Clause 50(3) and Clause 64(6).

Under NEC4, the immediate behavioural pressure is different. The Project Manager cannot allow programme non-acceptance to paralyse compensation-event assessment; cl. 64.1 requires the Project Manager to assess when the latest programme is unaccepted for a stated reason. The Project Manager must state reasons for non-acceptance, require resubmission within the period for reply, state assumptions where forecasting is uncertain under cl. 61.6, build an own assessment of the remaining-work programme under cl. 64.2, and notify a

detailed assessment within the Contractor's quotation period under cl. 64.3. The Contractor's incentive is therefore to keep the Accepted Programme current, realistic and information-complete, because failure shifts assessment power from quotation-led collaboration to Project Manager assessment.

Implementation comparison (GCC vs NEC4)

Aspect	GCC	NEC4
Terminology	No CEs; uses Engineer, Variations, Disturbance.	Uses compensation events, PM, Prices, quotations.
Programme status	Last approved Works Programme remains operative: SCC A1(8)(a).	Accepted Programme defined by cl. 11.2(1).
Non-acceptance response	Reasons given; resubmit within 21 days: SCC A1(5).	Reasons; resubmit within period for reply: cl. 13.4, cl. 32.2.
Time assessment	Engineer considers known circumstances: Clause 50(2).	PM uses own remaining-work programme: cl. 64.2.
Cost assessment	Rates, fair rates, actual Cost incurred: Clauses 61, 63.	Actual/forecast Defined Cost plus Fee: cl. 63.1.
Evidence sanction	Assess only available information: Clauses 50(3), 64(6).	Contractor loses assessment right: cl. 64.1.

5. GCC Lessons for NEC Adoption — GCC claim routines become NEC controls.

Hong Kong practitioners already know the Clause 50(1)(a) workflow: notify the Engineer of the cause and probable extent of delay within 28 days of the delay arising. Under NEC4, that discipline should be transferred to the Accepted Programme and compensation-event process: the behavioural adjustment is to use delay awareness earlier, so the Project Manager can assess Completion Date impact against a reliable programme rather than reconstruct remaining work under cl. 64.2.

The Clause 64(2), Clause 64(3), and Clause 64(4) claims workflow also transfers directly. GCC practitioners are used to giving notice of intention to claim within 28 days of the event, keeping contemporary records, and submitting a first interim account with full and detailed particulars. Under NEC, those habits support cl. 62.2 quotations and cl. 63.1 Defined Cost assessment, but the adjustment is evidential and temporal: particulars must support proposed changes to Prices, Completion Date, Key Dates, assessment details, and Accepted Programme alterations, including forecast Defined Cost as well as actual cost.

GCC variation valuation under Clause 61(1), Clause 61(2), and Clause 61 remains useful, but NEC changes the purpose. Instead of waiting for retrospective Engineer valuation using Contract rates or fair rates, practitioners should use the same pricing discipline prospectively for compensation-event quotation and assessment, with the Project Manager stating assumptions under cl. 61.6 where the effects are too uncertain to forecast reasonably.

Finally, the Clause 50(4), SCC Clause A1(5), SCC Clause A1(6), SCC Clause A1(6)(b), and SCC Clause A1(8)(a) programme-revision mindset is the closest bridge to NEC. GCC practitioners know that the last approved programme remains operative until a compliant amended Works Programme is approved. NEC requires the same discipline but with sharper commercial consequences: prompt resubmission under cl. 13.4 and cl. 32.2 preserves a usable Accepted Programme and avoids loss of Contractor assessment rights under cl. 64.1. In practical terms, GCC claim, record, variation, and delay-analysis habits should be deployed earlier as NEC risk, forecast, quotation, and programme-management tools.

GCC practice / experience	Transfers to NEC implementation

Clause 50(1)(a) 28-day delay notice.	Supports early CE timing evidence for cl. 63.5 assessment.
Clause 64(3) contemporary records.	Substantiate actual Defined Cost under cl. 63.1.
Clause 64(4) detailed interim account.	Convert particulars into cl. 62.2 quotation details.
Clause 61 variation valuation discipline.	Price CEs prospectively; use cl. 61.6 assumptions if uncertain.
Clause 50(4) and SCC A1 programme revision.	Resubmit promptly under cl. 13.4 and cl. 32.2.

6. HK-Specific Notes — PAH, DEVB and CEDD stress programme discipline.

The PAH Chapter 9 glossary table explicitly maps contract terminology to prevent confusion across frameworks. It confirms that, under GCC, time and cost effects are handled through "Extension of time, variations, claims" and payment through "Bills of Quantities / Schedule of Rates", contrasting this with NEC terms such as "Compensation events" and "Prices". This is important because the GCC expert response emphasises that GCC does not use "compensation events", "Project Manager", "Prices", or "quotations".

For Mega Project Contracts, PAH Chapter 5, Appendix 5.36, prescribes SCC Clause A1. The supplied expert response identifies SCC Clause A1(8)(a) as enforcing the rule that "Unless and until an amended version of the Works Programme is approved by the Engineer... the programme previously approved by the Engineer shall remain as the Works Programme for all purposes of the Contract". It also identifies SCC Clause A1(5), requiring a revised programme within 21 days after rejection taking account of the Engineer’s reasons, and SCC Clause A1(6) / SCC Clause A1(6)(b), requiring review and submission of an amended Works Programme within 21 days if an EOT is granted, a variation is ordered, expedition is instructed, or the Contractor foresees a significant deviation between actual progress and the Works Programme. SCC Clause A1(2) is cited in the GCC expert clause list, but no additional operative content was supplied for this topic. Works Bureau Technical Circular WB1900 does not address this aspect.

For NEC4 Hong Kong practice, the DEVB Practice Notes and CEDD Playbook explicitly address the severe practical consequences of failing to maintain an Accepted Programme. The DEVB identifies the lack of an Accepted Programme as a "Common Pitfall", often caused by the Contractor’s lack of focus on planning, float, or time risk allowances. This forces the Project Manager to assess compensation events using their own assessment under cl. 64.2. The DEVB heavily discourages this outcome because it defeats the collaborative risk-sharing and prospective change-management ethos intended for Hong Kong projects.

The DEVB also advises a "pragmatic approach" to acceptance. For complex projects, instead of rejecting the entire programme, the Project Manager may conditionally accept a detailed sub-programme for the upcoming 3 to 12 months, while allowing minimal details for later activities. The stated purpose is to ensure an Accepted Programme remains in place for compensation-event assessments and to avoid breakdown of the quotation process.

The CEDD Playbook and DEVB strongly encourage Project Managers to use the power to state assumptions under cl. 61.6 when evaluating compensation events. This allows quotations to be provided in advance of the works taking place, limits uncertainty, prevents breakdown of the assessment process, and avoids retrospective valuation. No additional NEC4 Hong Kong Edition specifics such as a tender closing date baseline, W4, or Z-clauses were supplied in the expert material for this topic.

Rule-based Validation Summary

Overall verdict: PASSED
Confidence: 1.00
Iterations used: 1
Rule-based track: pass

Metric	Value	Threshold	Status
Citation Accuracy Rate (GCC)	1.00	≥ 0.85	pass
Citation Accuracy Rate (NEC4)	1.00	≥ 0.85	pass
Coverage Rate (GCC)	1.00	≥ 0.85	pass
Coverage Rate (NEC4)	1.00	≥ 0.85	pass
Composite Confidence	1.00	≥ 0.70	pass

NEC4 anchors covered: cl. 64.2, cl. 64.3, cl. 66.1

LLM Semantic Validation (Track 2)

Track verdict: pass
Severity: minor
Default codes: E1 (hallucinated clause), E2 (egregious content mismatch)
Diagnostic-only — does NOT gate the overall verdict.

No semantic issues raised.